Satyam

What caused the collapse and what corporate governance is meant to prevent

Corporate Governance Failure at Satyam

Strategic Management | Group Case Analysis

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Satyam: From India's IT success story to "India's Enron"

1. Satyam Computer Services Ltd(Satyam) was founded in 1987 by B. Ramalinga Raju, was India's fourth largest IT company, just after TCS, Wipro, Infosys with revenues surpassing US$2 billion.The company had a dual listings on BSE and NYSE with a global presence in 37 countries and a strong portfolio of global clients, including major Fortune 500 companies.
2. B. Ramalinga Raju, was known as one of the pioneers of the Indian IT success. The company was known for corporate governance excellence due to twice recipient of Golden Peacock Award. Besides this, he had a stellar board of eminent luminaries viz: A Harvard Business School Professor, A dean of the Indian School of Business, etc.
3. On 7 January 2009, the founder, Ramalinga Raju, confessed to manipulating Satyam's accounts for many years in a financial scam approximately to some US$ 1.4 billion.
4. The Company reported cash and bank balances of US$1.03 billion when it had US$65 million and operating margins of 24% when the actual was 3%.
5. The scale of the accounting fraud, misleading financial reporting and corporate governance failure led the International business press to label Satyam as '**India's Enron**' and which in return raised serious concerns about the credibility of corporate governance and auditing in India.

What is corporate governance?

The Definition

- Corporate governance is a system of rules, practices, and processes by which a company is managed and controlled.
- It separates ownership (shareholders) from control (management) so managers act in owners' interests, not their own.
- Its role is to be a check and balance to hold management accountable and protect minority shareholders. The board, independent directors, and external auditors.
- The institution-based view considers governance as one of the capital market institutions that are well-developed in developed markets and weak in emerging markets like India.

The good governance myth

- On paper Satyam looked impressive: a distinguished board, a Big 4 auditor (PwC), and two Golden Peacock awards for governance excellence.
- Then, for years, there was a $1.4 billion fraud. The safeguards were there in form, not substance.
- That’s the gap the case exposes: governance that looked world-class on the surface but failed at the only thing it was meant to do: protect stakeholders from the people running the company.

Q1 - Promoter greed and the fraud mechanics

- **Fake cash & bank balances:** Books showed US$1.03 bn; actual was only US$65 million
- **Fake interest income:** US$7.7 million "accrued interest" on that non-existent cash
- **Inflated margins:** Reported 24% operating margin (Sep 2008 qtr) vs. actual 3%
- **Hidden liabilities:** US$252 million in real liabilities kept undisclosed
- **Ghost employees:** Claimed 50,000 staff vs. actual 40,000; US$4 million/month siphoned via fictitious names (destination never disclosed)
- **Maytas Cover-up attempt:** Raju's family real-estate arm (Maytas) was cash-strapped after the 2008 crash; he'd pledged Satyam shares to fund it
- **Cover-up attempt:** Dec 16, 2008 - proposed Satyam buy Maytas Infra & Properties for $1.6 bn, to quietly funnel real cash in and plug the fake numbers
- **Backfired:** Conflict of interest was obvious (all promoter-owned); stock crashed 50%, deal scrapped in 12 hrs - triggering the chain reaction that exposed the whole fraud
- **Raju's own words:** *"It was like riding a tiger, not knowing how to get off without being eaten."*

Q1 - The gatekeepers who failed

Board & independent directors

- Directors seen as "promoters' men"
- No eligibility criteria under the Companies Act
- Board relied on PwC for the true picture
- Directors resigned after the Maytas deal

Auditors & weak regulation

- PwC signed off on inflated statements
- "Where were the auditors?"; partners arrested
- India was largely self-regulated; Clause 49
- Reforms (share-pledge disclosure) came only after

Q1 - Ownership concentration and lessons for India

- About 90% of Indian companies were promoter-run with family-controlled boards; more than half of BSE-listed companies were family-controlled
- Satyam was a systemic warning, not a one-off
- A Gartner analyst called it a "crisis of trust" for the India Inc. brand
- Clients began weighing ownership structure when choosing IT vendors
- Push for tighter regulation and more vigilant independent directors afterward

Satyam collapsed because every check failed in sequence

- **Promoter ambition -** Family interests shaped decisions
- **Maytas cover-up -** A related-party deal tried to hide the hole
- **Failed audit -** External verification did not expose the fraud
- **Weak implementation -** Existing rules did not work in practice
- **Passive board -** Independent challenge came too late
- **False accounts -** Cash, margins and liabilities were manipulated

Corporate governance is effective only when its gatekeepers can question, verify and act independently